certain of that advisor's complete and unquestioned hon-esty. The other step is more complex. A financial advisor may have obtained far above average results during a period of falling prices not because of skill but because he always keeps a large part of the funds he manages in, let us say, high-grade bonds. At another time, after a long period of rising prices, another advisor may have obtained above-average results because of a tendency to go into risky, marginal companies. As explained in the discussion of profit margins, such companies usually do well only in such a period and subsequently do rather poorly. Still a third advisor might do well in both such periods because of a tendency to try to guess what the security markets are going to do. This can pro-duce magnificent results for a while, but is almost impossible to continue indefinitely.

Before selecting an advisor, an investor should learn from that advi-sor the nature of his basic concept of financial management. He should then only accept an advisor with concepts fundamentally the same as the investor's own. Naturally, I believe that the concepts expressed in this book are those which fundamentally should govern. Many, reared in the old-time financial atmosphere of “buy them when they are cheap and sell them when they are high, “would strongly disagree with this conclusion.

Assuming an investor desires the type of huge, long-range gain which I believe should be the objective of nearly all common stock pur-chases, there is one matter which he must decide for himself: whether he uses an investment advisor or handles his own affairs. It is a decision which must be made because the type of stocks which qualify most satisfactorily under the previously discussed fifteen points can vary considerably among themselves in their investment characteristics.

At one end of the scale are large companies which in spite of outstanding prospects of major further growth are so financially strong, with roots going so deep into the economic soil, that they qualify under the general classification of “institutional stocks.” This means that insurance companies, professional trustees, and similar institutional buyers will buy them. They will do so because they feel that, while they may misjudge market prices and could lose a part of their original investment should they be forced to sell such stocks at a time of lower quotations, they are avoiding the greater danger of loss they could suffer if they bought into a company that subsequently fell from its present competitive position.